

From electronics to semiconductors

Uttar Pradesh emerges as a new manufacturing pivot

Under the leadership of Chief Minister Yogi Adityanath, Uttar Pradesh's industrial identity has undergone a rapid transformation in recent years. Once associated with complex procedures, weak infrastructure and concerns over law and order, the state is now being viewed as an emerging hub for manufacturing and high-tech industries. In sectors such as electronics, component manufacturing and semiconductors in particular, the government's clear policy direction, swift decision-making and a reliable ecosystem have firmly positioned Uttar Pradesh on the national industrial map.

A major hub of mobile manufacturing

The changing industrial landscape of Uttar Pradesh was recently reflected in the third phase of the Central Government's Electronics Component Manufacturing Scheme (ECMS). Of the 22 proposals approved, four were from Uttar Pradesh a development that goes beyond numbers to signal the state's growing importance in the electronics supply chain. Among the 11 states that received project approvals under ECMS, Uttar Pradesh's presence underscores the fact that investor confidence is now translating into on-ground commitments.

Under this scheme, estimated investments of ₹41,863 crore and the creation of 33,791 direct jobs are expected nationwide, with Uttar Pradesh set to derive significant economic and employment benefits. The Yogi government has consistently worked at the policy level to create an investment-friendly environment. The Uttar Pradesh Electronics Manufacturing Policy notified in 2017, followed by the Electronics Components Manufacturing Policy 2025, has provided long-term clarity to investors. Strong law and order, transparent processes, and improved physical and digital infrastructure have placed Uttar Pradesh among the states where establishing industries is considered comparatively easier. As a result, Uttar Pradesh has today emerged as India's leading mobile manufacturing centre. More than 55 per cent of smartphones manufactured in the country and 50–60 per cent of mobile components are produced in the state. Alongside leading brands such as Vivo, Oppo, Samsung, Lava, Haier and LG, component suppliers including Holitech, Transsion, Jahwa, Sunwoda and Samkwang have also established manufacturing units here. This expanding network is accelerating manufacturing activity while strengthening the local supply chain.

Sharpening focus on semiconductor manufacturing

As the next phase of manufacturing growth, the Yogi government has turned its focus to the semiconductor sector. In a Cabinet meeting chaired by the Chief Minister on 6 January, a key decision was taken to attract large investments under the Semiconductor Policy introduced in January 2024. Approval to provide special incentives on a case-by-case basis for investments of ₹3,000 crore or more clearly signalled the government's seriousness towards this emerging industry.

At a time when global competition in semiconductor manufacturing is intensifying across regions such as the United States, Europe, Japan and Taiwan, Uttar Pradesh is working to secure a strong position within this global value chain. Under the policy, semiconductor units will be eligible for incentives including interest subsidies, reimbursement of employee costs, exemption from net SGST for ten years, 100 per cent EPF reimbursement for domiciled workers of Uttar Pradesh, concessions on water charges, and a ₹2 per unit rebate on electricity tariffs.

The objective of these measures is clear to attract large-scale investment and promote employment